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Paramount to Tap High Grade Bond Market



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Paramount's New Debt Comparables Likely to Be Charter, SpaceX

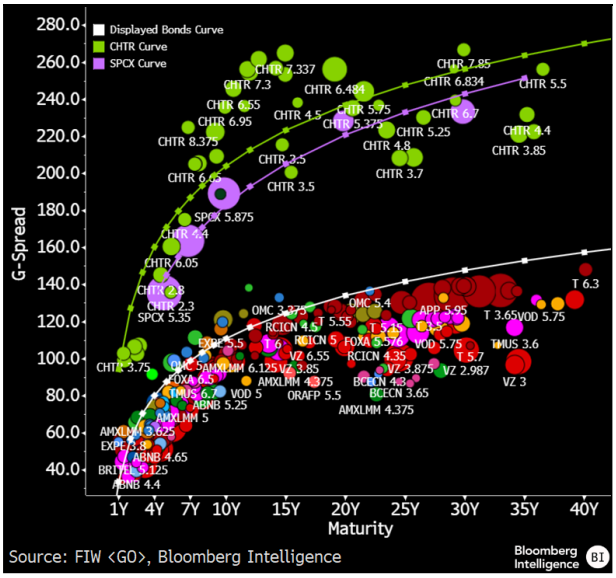
(Bloomberg Intelligence) -- Paramount Skydance is expected to sell about $40 billion of first lien bonds and loans to fund its pending $110 billion acquisition of Warner Bros. Discovery. The bonds will likely have at least two investment grade ratings, comparable to Charter Communications secured notes (Ba1/BBB-/BBB-) and SpaceX bonds (Baa1/BBB/BBB+), which trade among the widest in high grade communications. The Warner purchase may close by Sept. 30, given the recent settlement of an antitrust lawsuit brought by 12 state attorneys general. (09/24/26)

1. Charter, SpaceX Bonds Much Wider Than Peers

Paramount's new first lien bonds may be comparable to Charter secured notes, as the obligations are likely to have similar ratings. Each company's debt load includes a large amount of junk-rated obligations, and both seek to improve their credit profiles after large acquisitions. SpaceX bonds may also be comparable to Paramount first lien notes. SpaceX may issue more debt over the next few years to fund likely large deficits driven by significant capital investments related to its AI infrastructure.

Charter secured bonds and SpaceX notes trade at spreads that are much wider than the regression curve of triple B rated communications bonds included in the Bloomberg US Corporate Bond Index. Peers include notes issued by AT&T, Fox, Omnicom, Rogers and Verizon. (09/24/26)

IG Index: Triple-B Rated Communications



2. Potential High Grade Rating for First Lien Debt

Paramount's first lien debt is expected to have investment grade ratings from at least two of the three major rating firms. S&P on May 19 said it expects to rate the company's first lien obligations

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BBB- and its second lien debt BB. The rater said its assessment is based on the Ellison family's commitment to take all steps necessary to reduce net leverage to 3.75x by 2028 and 3x by 2029, based on the company's net leverage calculation. S&P forecasts rater-adjusted leverage of mid-7x in 2027, with a significant improvement to about 5.1x in 2028 and further declines in 2029-30.

Fitch on May 19 said it expects to rate Paramount's second lien notes BB, consistent with S&P. (09/24/26)

Company Press Release

"If there are no changes to the final terms or amount, when the company issues the additional debt to fund the transaction, we expect to assign a 'BBB-' issue level rating (with a '1' recovery rating) to PSKY's first lien secured debt and to assign 'BB' issue level ratings (with a '4' recovery rating) to all second lien secured debt."

S&P
May 19, 2026
Click to view entire press release

3. Paramount Likely to Tap Multiple Debt Markets

Paramount is expected to tap several debt markets to fund its purchase of Warner, with the new obligations replacing its current bridge facility. The company may issue investment grade first lien bonds and loans, as well as high yield second lien notes. Though a large majority of the obligations will likely be denominated in dollars, the company could also issue debt in euros.

Paramount hasn't sold bonds in the investment grade market since 2020. The company's senior notes fell out of the high grade index at the end of March after a downgrade to BB+ by Fitch. (09/24/26)

Company Filing

"Paramount intends to commence one or more offerings of senior term loans and/or debt securities to reduce or replace remaining Bridge Commitments (the "Acquisition Financing Transactions") currently planned to take the form of (i) $39.5 billion of first-lien secured indebtedness (the "New First Lien Secured Debt") and (ii) $12.4 billion of second-lien secured indebtedness (the "New Second Lien Secured Debt")."

Paramount Skydance
Form 8-K filing, May 19, 2026
Click to view entire filing

4. Charter, Paramount Expect to Reduce Leverage

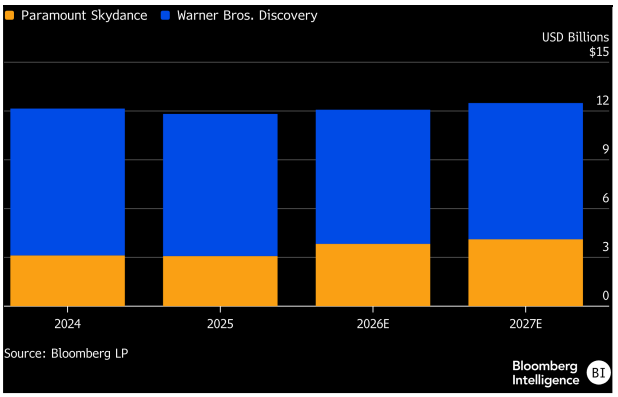
Paramount will likely have secured leverage of about 3.5x this year and total net debt leverage of 6.4x, including Warner. The ratios improve to about 2.4x and 4.3x using pro forma Ebitda of $18 billion, which includes $6 billion of annual cost savings. The company expects to realize synergies and achieve its 3x total net debt leverage target within three years of the merger. Paramount considers 3x leverage an investment grade profile.

Charter gained scale with its Aug. 20 acquisition of Cox Communications, and appears positioned to achieve its net leverage goal of 3.5x, with mid-2x leverage likely for its secured borrowings, within three years of the deal. (09/24/26)

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Paramount, Warner Annual Ebitda 2024-27E



5. Paramount Loans Include Security Fall-Away

Paramount on April 9 announced two $2.5 billion term loans to support its acquisition of Warner, that lowered its bridge facility to $49 billion from $54 billion. The loans will be secured on a first lien basis and guaranteed by subsidiaries. The loans also include an investment grade fall-away event that allows for the loans to become unsecured if Paramount achieves a high grade rating from two out of Moody's, S&P and Fitch. The event is similar to a provision included in T-Mobile US' secured obligations when it purchased Sprint in 2020. (09/24/26)

Company Filing

"On the date (such date, the “Investment Grade Fall-Away Date”) PSKY achieves certain credit ratings and satisfies certain other conditions as specified in the Pro Rata Credit Agreement, the obligations under the Pro Rata Credit Agreement will become unsecured, and the guarantee of such obligations by the subsidiary guarantors will be released (subject to certain exceptions)."

Paramount Skydance
Form 8-K filing, April 9, 2026

Click to view entire filing

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